



2005

Suzlon goes public with a ₹1,500 crore issue

2007-08

Acquires Hansen Transmissions and REpower for ₹10,000 crore

ment, we don't sell the WTG, and are fine with that," says Chalasani.

LOOKING BEYOND

58 | While Suzlon gets ready for a better future, it is hard to miss how much the renewable energy segment will change as both Reliance Industries and the Adani Group make big moves backed by huge investments. "While Adani and Reliance bring scale, Suzlon's three-decade track record, entrenched client base and highly localised operations remain hard to replicate quickly. That said, the competitive intensity may keep margins under check, making operational efficiency and technology innovations key differentiators going forward," says Samco Securities' Mour.

Girish Tanti goes back in time when everybody, right from the first set of homegrown renewable players to electrical suppliers, was jumping on to the wind energy bandwagon. "There is enough space for everyone. In a disruptive environment, we want to play to our strengths of market understanding and being a vertically integrated player (wind energy turbine manufacturing, commissioning, OMS)," he says. Suzlon leads with a 32%-plus market share. Among other players are Vestas, Envision, Nordex and Inox. In March, TPG acquired a majority stake in Siemens

Gamesa with smaller investors, including members of the Murugappa family and Prashant Jain, earlier with JSW Energy. "Globally, in the last three decades, only five wind power companies have survived. All five of us have come close to bankruptcy. The ones that survived have become resilient," says Girish Tanti.

One area of concern is Suzlon's operating leverage. Samco Securities' Mour thinks this magnifies both gains and risks. "For the company, FY25 marked an inflection point where scale significantly expanded margins. Ebitda nearly quintupled compared to FY24 on just 67% revenue growth. With capacity in place and visibility on future orders, the business is well-placed to sustain margin expansion," he says. Leveraging fixed assets across larger volumes reduces per-MW cost, enhances return on capital employed and strengthens competitive positioning, he says. "However, discipline in working capital and order execution remain crucial."

Motilal Oswal's Nigam says high operating leverage, capital-intensive nature of manufacturing, the scale required for profitability and expanding order base mitigate these risks. "The company's eligibility to participate in PSU tenders (its negative net worth did not allow this earlier) further enhances order visibility," he says. As Suzlon ramps up execution and leverages scale, Nigam says it is better positioned to spread fixed costs over a larger base, "supporting profitability and reducing vulnerability to margin pressures."

For Girish Tanti, the cushion is the OMS component, which has come of age. "Besides, we are today in more market segments like commercial and industrial, apart from PSUs. The last two years were about laying a robust foundation to build capabilities and capacities, making us ready for years of sharp growth," he says.

On the WTG business, Vinod Tanti says many of them (the turbines) have completed the 25-year cycle. "That is a big opportunity, and we are getting ready for

ONE OF THE CHALLENGES WILL BE THE ENTRY OF BIG GROUPS SUCH AS RIL AND ADANI INTO WIND POWER